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# Nationalization of the Reserve Bank of India

THERE WAS A STRONG DEMAND for a wholly State-owned bank in 1927 when the Reserve Bank Bill was introduced in the Legislative Assembly. Part of the delay in setting up the RBI could be ascribed to the acute controversy over the matter of State versus private ownership. However, after the bank had been set up in April 1935, this issue remained in the background till the announcement in August 1945 of the proposal for the nationalization of the Bank of England, brought it once again into the glare of publicity.

The demand for nationalization became stronger after the Interim Government came to power at the Centre in September 1946. A non-official resolution urging the nationalization of the bank was moved in the Legislative Assembly in February 1947. The government had anticipated such a move and asked the bank for its views and advice in advance. Deshmukh thought it premature to even refer the question to the full Board, and opined that the government should commit nothing before a careful examination of the matter. In the course of the debate on the Indian Finance Bill on March 26, 1946, in the Legislative Assembly, Sarat Chandra Bose, leader of the opposition, asserted that nationalization should be the keynote of all economic development in India. In his reply, the Finance Member, Sir Archibald Rowlands, said that he had no doubt that the Reserve Bank would be nationalized in the near future.[1]

Sensing the way the wind was blowing, the Finance Department decided that it was high time that government decided their stand on this important issue. Accordingly, the views of the bank were solicited towards the close